



Solvency II & ALM in one page

SCR, MCR, own funds: how an insurer measures and steers its solvency.

SOLVENCY RATIO

Ratio = Own Funds / SCR — must stay above 100% to comply with Solvency II

SCR

- Solvency Capital Requirement: capital needed to absorb a 1-year shock (99.5% VaR).
- Computed via the standard formula or an internal model.
- Aggregates risks (market, underwriting, credit, operational) with correlations.

MCR

- Minimum Capital Requirement: floor threshold, below which the license can be withdrawn.
- Set between 25% and 45% of the SCR.
- Monitored more frequently than the SCR (often quarterly).

ALM

- Asset-Liability Management: jointly managing assets and liabilities.
- Goal: control the duration gap between assets and liabilities.
- Core business for long-guarantee savings/retirement products.

OWN FUNDS

- Resources available to absorb losses, classified into 3 tiers by quality.
- Tier 1 = the strongest capital (immediately available, non-redeemable).
- The solvency ratio compares these own funds to the SCR.

Who uses what?

ACTUARY

Computes the SCR/MCR and the technical provisions on the liability side.

RISK MANAGER

Monitors the solvency ratio and risk limits (Pillar 2).

ASSET-LIABILITY MANAGEMENT

Steers the duration gap and the investment strategy constrained by liabilities.

REGULATOR

Checks compliance with the SCR/MCR and reporting quality (Pillar 3).

KEY TAKEAWAYS

1. SCR = warning threshold, MCR = critical threshold — breaching the MCR is far more serious than breaching the SCR.
2. Solvency II rests on 3 pillars: quantitative (Pillar 1), governance/risk (Pillar 2), reporting/transparency (Pillar 3).
3. ALM isn't just a regulatory constraint: it's what protects an insurer from a duration mismatch between what it owes and what it holds.



Comparison table

CRITERION	SCR	MCR
Nature	Target warning threshold	Critical floor threshold
Confidence level	99.5% over 1 year	85% over 1 year
Calculation frequency	At least annually	Quarterly
Consequence of breach	Recovery plan required	Possible withdrawal of license

Real-world examples

EQUITY SHOCK

The equity module of the standard SCR applies a -39% to -49% shock depending on the type of equities held.

INTEREST RATE SHOCK

An unfavorable rate move reduces the value of bonds on the asset side while increasing the present value of liabilities.

MATCHING ADJUSTMENT

An insurer holding bonds to maturity to back annuities can adjust its discount rate and reduce the accounting volatility of its liabilities.

DURATION GAP

A 20-year guaranteed savings product poorly backed by 8-year duration assets exposes the insurer to reinvestment risk if rates fall.

Quick glossary

SCR

Solvency Capital Requirement — target capital to absorb a 1-year shock.

MCR

Minimum Capital Requirement — regulatory floor threshold.

OWN FUNDS

Eligible capital to cover the SCR/MCR, classified by tier.

PILLAR 1/2/3

Quantitative requirements, governance/risk, and reporting under Solvency II.

MATCHING ADJUSTMENT

Adjustment to the discount rate when asset and liability cash flows are well matched.

DURATION GAP

Difference in rate sensitivity between an insurer's assets and its liabilities.

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